



TOP FIVE REASONS TO WRITE A PLAN

- › **The process** Working through each element ensures nothing is forgotten.
- › **Costing** The only way to find out whether the business is viable is to work out details of costs and sales.
- › **Funding** A good business plan improves chances of getting a loan.
- › **Areas of expertise** Making a business plan clarifies where outside help is needed—for instance, in bookkeeping or marketing.
- › **Getting to know the competition** Conducting market research is the best way to give a business an edge.



NEED TO KNOW

- › **SWOT analysis** Stands for Strengths, Weaknesses, Opportunities, and Threats
- › **Unique selling point (USP)** The feature that makes a product different from the competition

Competitor analysis

Show how the business idea compares with the competition:

- › **Table of competitors** Who and where they are, what they sell and for how much, how good they are
- › **SWOT analysis** Including how to remedy any weaknesses and combat known threats, such as a garden center opening nearby
- › **USP** Unique selling point of the product or service

See Need to Know box, above.

Operations and logistics

Describe from start to finish how the business will run day to day:

- › **Supply and delivery** How the goods or service will get from A to B
- › **Equipment** Details of transportation, office items, and premises
- › **Payment, legal, and insurance** How customers will pay and how that translates into salaries; compliance with the law

Costs and pricing strategy

Work out how much the product or service costs and its sale price:

- › **Cost** How much each unit or batch costs to make and deliver
- › **Price** How much each unit or batch will sell for
- › **Profit margin** The difference between cost and price per unit

Financial forecasts

Predict sales and costs over the year, allowing for seasonal fluctuation, such as spring demand for lawn services:

- › **Sales calculations** For each month, the expected number of sales
- › **Costs calculations** The costs of the predicted sales each month
- › **Cash-flow forecast** The money coming in and out of the business

See How Finance Works, pp.98–175.

Back-up plan

Make a Plan B in case something goes unexpectedly wrong:

- › **Short-term changes** Cutting costs or boosting sales immediately
- › **Longer-term changes** Shifts such as working online, not on premises
- › **Closure** Lessons learned and skills acquired if the business closes